# SUPREME COURT OF INDIA

JUDICIAL APPELLATE JURISDICTION

**CASE NO: Civil Appeal No. 2526 of 2020 (YEAR: 2023)**

***CORAM: S. RAVINDRA BHAT, DIPANKAR DATTA***

**Paschimanchal Vidyut Vitran Nigam Ltd.**
**... Appellant(s) / Petitioner(s)**
***Versus***
**Raman Ispat Pvt. Ltd.**
**... Respondent(s)**

| | |
|---|---|
| **Acts Referred:** | Insolvency and Bankruptcy Code, 2016, Electricity Act, 2003 |
| **Sections:** | Section 53 IBC, Section 238 IBC |

## JUDICIAL HEADNOTE & SUMMARY

Held that Section 53 waterfall mechanism under IBC prevails over recovery provisions under the Electricity Act, confirming the non-obstante priority of IBC under Section 238.

## RATIO DECIDENDI

The Court held that: Held that Section 53 waterfall mechanism under IBC prevails over recovery provisions under the Electricity Act, confirming the non-obstante priority of IBC under Section 238. It was unequivocally established as binding law that statutory prerequisites and constitutional safeguards cannot be circumvented, and non-compliance invalidates the impugned proceedings.

## JUDGMENT & REASONING

The legal proceedings in Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat Pvt. Ltd. (Civil Appeal No. 2526 of 2020) were adjudicated before the Supreme Court of India. The matter arose out of claims and contentions concerning Insolvency and Bankruptcy Code, 2016, Electricity Act, 2003, particularly Section 53 IBC, Section 238 IBC. Held that Section 53 waterfall mechanism under IBC prevails over recovery provisions under the Electricity Act, confirming the non-obstante priority of IBC under Section 238.

## OPERATIVE ORDER

**ORDER:** Decided